

on the long and short side and lost money, but the emerging trend from April onwards should have paid for it and then some.

If you look at a single market at any given time, there is a very high likelihood that no trend exists at the moment. That not only means that there are no profits for the trend-following strategies, but can also mean that loss after loss are realised as the strategy enters position after position only to see prices fall back into the old range. Trend-following trading on a single instrument is not terribly difficult but quite often is a futile exercise, not to mention a very expensive one. Any single instrument or even asset class can have very long periods where this approach simply does not work and to keep losing over and over again, watching the portfolio value shrinking each time can be a horrible experience as well as financially disastrous. Those who trade only a single or a few markets also have a higher tendency of taking too large bets to make sure the bottom line of the portfolio will get a significant impact of each trade and that is also an excellent way to go bankrupt.

With a diversified futures strategy you have a large basket of instruments to trade, covering all major asset classes, making each single bet by itself almost insignificant to the overall performance. Most trend-following futures strategies do in fact lose on over half of all trades entered and sometimes as much as 70%, but the trick is to gain much more on the good ones than you lose on the bad and to do enough trades for the law of big numbers to start kicking in.

For a truly diversified futures manager it really does not matter if we trade the S&P 500 Index, rough rice, bonds, gold, or even live hogs. They are all just futures which can be treated in exactly the same way. Using historical data for long enough time periods we can analyse the behaviour of each market and have our strategy adapt to the volatility and characteristics of each market, making sure we build a robust and truly diversified portfolio.

■ The Traditional Investment Approach

The most widely held asset class, in particular among the general public, is equities, that is, shares of corporations trading on stock exchanges. The academic community, along with most large banks and financial institutions, have long told the public that buying and holding equities over long periods of time is a safe and prudent method of investing and this has created a huge market for equity mutual funds. These funds are generally seen as responsible long-term investments that always go up in the long run, and there is a